

GOVERNMENT PUSH

- 1 The rise in protectionism across the world and geopolitical uncertainties have led to newer challenges
- 2 The National Manufacturing Mission is set to be launched to enhance manufacturing capabilities
- 3 The government intends to focus on MSMEs to help them grow through easy credit, lower compliances
- 4 To boost trade, 14 free trade agreements and six preferential trade agreements have been signed
- 5 High tech sectors, rare earth minerals, labour intensive sectors are key to boosting manufacturing and exports

To expand its markets, India has already signed 14 free trade agreements and six preferential trade pacts and is also negotiating several other deals, including those with the European Union and New Zealand. Simultaneously, it is working to diversify its export markets and has a strategy to focus on 20 countries, including Australia, Brazil, China, and France, and six sectors each in commodities and services such as engineering goods, pharma, textiles, IT/ITeS, electronics and agricultural products. Officials say the results have been more than satisfactory so far.

NEXT PHASE OF REFORMS

But given the scope of India's ambitions, it will have to undertake several more measures if it wants to turn its manufacturing sector into a durable engine of growth and enhance its global competitiveness, innovation, and integration into global supply chains.

Singh of Dun & Bradstreet has several suggestions. For one, he says that the continued success of the PLI scheme will depend on building a strong monitoring framework to track progress and refine implementation. As per the last set of data released by the government this March, the scheme, spread across 14 sectors, attracted investments of ₹1.61 lakh crore and generated sales of ₹14 lakh crore till November 2024, with significant exports from sectors like large-scale electronics manufacturing, pharmaceuticals, food processing, and telecom & networking products.

He also underlines that to grow its manufacturing, India needs to deepen the ecosystem and incentivise high value manufacturing, like in semiconductors.

Another important aspect is the integration of MSMEs into the supply chain as they have a huge potential to become growth drivers, he says. In India, 95% of companies are micro, 4% are small and medium sized, and only 1% is large sized. In developed countries, small and

medium enterprises account for 40% of companies. "We need to handhold our MSMEs and make them bigger and not just focus on the 1% large companies," he says.

To empower SMEs, Union Budget 2025-26 also proposed the National Manufacturing Mission, which is expected to be rolled out soon. NITI Aayog CEO B.V.R. Subrahmanyam recently said the mission will serve as an overarching body—one that not only guides and aligns efforts across ministries, but also ensures that all government policies, incentives, and actions work in unison. The deregulation commission proposed by the government in the recent Budget could also give a spur to entrepreneurship, although its modalities are yet to be formally announced.

While the current global volatility has made firms and investors more cautious, India must persevere with measures to grow its manufacturing sector. Several success stories in sectors like electronics, pharma and toys have emerged and others could follow suit, making the manufacturing sector a new sustainable driver of growth. **BT**

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